IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.A. (CAA) No. 66/BB/2017
Under Section 230 to 232 of the Companies Act, 2013
Order delivered on: **21.12.2017**

IN THE MATTER OF
SCHEME OF AMALGAMATION
OF
ALCON CONSULTING ENGINEERS (INDIA) PRIVATE LIMITED
AND
ALCON CTL TESTING PRIVATE LIMITED

M/s. Alcon Consulting Engineers (India) Private Limited
No.35, 4th Main, 4th Stage, Opp. Trinity Motors
Industrial Town, Basaveshwaranagar
Bengaluru-560079 **.....1st Applicant / Transferor Company**

AND

M/s. Alcon CTL Testing Private Limited
No.35, 4th Main, 4th Stage, Opp. Trinity Motors
Industrial Town, Basaveshwaranagar
Bengaluru-560079 **..... 2nd Applicant / Transferee Company**

Coram: Hon'ble Shri RatakondaMurali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Parties Present : Mr. BB Deshpande, Chartered Accountant for
BB Deshpande & Co., Chartered Accountants
Bengaluru-560001
Chartered Accountant for the Applicant Companies

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)** – Author

Heard on: 14.09.2017, 29.09.2017, 11.10.2017, 16.10.2017, 22.11.2017 & 05.12.2017

O R D E R

This Joint Company Application is filed on behalf of the Applicant Companies i.e. 1st Applicant/Transferor Company **M/s. Alcon Consulting Engineers (India) Private Limited** and 2nd Applicant/Transferee Company **M/s. Alcon CTL Testing Private Limited**, praying to order for dispensing with convening of meeting(s) of the Equity Shareholders, Secured Creditors and Unsecured

Creditors of the respective Applicant Companies for purposes of considering the Scheme of Amalgamation, for amalgamating business of the Transferor Company with the Transferee Company.

The averments made in the Company Application are briefly described hereunder:-

The 1st Applicant / Transferor Company was incorporated on 11th May, 2010 under the name and style as **ALCON CTL TESTING PRIVATE LIMITED** and obtained Certificate of Incorporation vide bearing CIN No. U74900KA2010PTC053574.

The Registered Office of the 1st Applicant/Transferor Company is situated at No.35, 4th Main, 4th Stage, Opp. Trinity Motors, Industrial Town, Basaveshwaranagar, Bangalore 560 079.

The Authorized Share Capital of 1st Applicant / Transferor Company is Rs. 30,00,000/- Rupees Thirty Lakhs only. 5,00,00,000/- (Rupees five crores) and its present Issued, Subscribed and Paid-up Share Capital of the Company is 30,00,000 divided into 30,000 Equity Shares of Rs.100/- each.

The Main Objects of the 1stApplicant/Transferor Company as set out in its Memorandum of Association inter alia includes, as follows:

i.) design and develop geo technical engineering services in connection with the public health, water supply, sanitation engineering, sewer treatment, irrigation and water management;

ii.) design and develop destructive and non-destructive testing, investigation, related engineering survey, route planning, corridor mapping and generation of GIS database;

iii.) design and develop construction material laboratory, material testing, design of geometrics, alignment, pavement, structures and construction supervision.

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the 1st Applicant / Transferor Company are produced as **Annexure –C** to the Petition and Copy of Audited Financial Statements for the period ended 31st March, 2017 are also produced as **Annexure-D.** So also the Board Resolution dated 14th June, 2017 approving the Scheme of Amalgamation is produced as **Annexure-E.**

Consent letters from Equity Shareholders and Creditors as on 21st March, 2017 of 1st Applicant / Transferor Company is shown as **Annexure-F.**

Copy of Memorandum and Articles of Association of the 1st Applicant / Transferor Company is shown as **Annexure-G.**

The 2nd Applicant/Transferee Company was incorporated on 21st May, 2003 under the name and style as **ALCON CONSULTING ENGINEERS (INDIA) PRIVATE LIMITED** in the State of Karnataka and obtained Certificate of Incorporation vide bearing CIN No. U74210KA2003PTC031967.

The Registered Office of the 2nd Applicant/Transferee Company is situated at No.35, 4th Main, 4th Stage, Opp. Trinity Motors, Industrial Town, Basaveshwaranagar, Bangalore 560079.

The Authorized Share Capital of 2nd Applicant / Transferee Company is Rs. 5,00,00,000/- (Rupees five crores) divided into 50,00,000 (Fifty lakh) Equity Shares of Rs. 10/- each. Its present Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 4,53,34,980.

The Main Objects of the 2nd Applicant/Transferee Company's as set out in its Memorandum of Association inter alia includes, as follows:

i.) to carry on business of land survey of Government and private properties

ii.) to carry on business of consultancy in civil engineering and project management;

iii.) to carry on business of valuation;

iv.) to carry on the business soil investigation;

v.) to carry on the business structural consultancy.

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the 1st Applicant / Transferor Company are produced as **Annexure–G** to the Petition and Copy of Audited Financial Statements for the period ended 31st March, 2017 is produced as **Annexure-H** so also the Board Resolution dated 14th June, 2017 approving the Scheme of Amalgamation is produced as **Annexure-I.**

Consent letters from Equity Shareholders and Creditors as on 21st March, 2017 of 1st Applicant / Transferor Company is shown as **Annexure-J.**

The Board of Directors of the 1st Applicant/Transferor Company and 2nd Applicant/ Transferee Company have passed Resolutions at their respective meetings held on 13th June, 2017 and 14th June, 2017 by virtue of which **Alcon CTL Testing Private Limited** (1st Applicant/Transferor Company) is proposed to be merged with **Alcon Consulting Engineers (India) Private Limited** (2nd Applicant/Transferee Company) in terms of the Scheme of Amalgamation.

Further, the Applicant Companies has necessitated and justified the Scheme of Merger on the following grounds:

a. Strengthening of the single brand leading to a stronger market presence, providing customers with seamless on-board experience, and removing any other brand perceptions/distinctions in customers' minds;

b. More focused operational efforts, realizing synergies in terms of compliance, governance, administration and cost synergies;

c. Greater efficiency in cash management of the merged entity and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to maximize share holders value;

d. In the opinion of the Board, the said Scheme will be on advantage and beneficial to the Company and its share holders, creditors and other stakeholders and that the terms thereof are 'fair and reasonable'.

e. The said scheme of Amalgamation will contribute in fulfilling and furthering the objects of these companies. It will strengthen, consolidate and stabilize the business of these companies and will facilitate further expansion and growth of their business;

f. The proposed amalgamation would enhance the share holders value of the transferor and the transferor companies;

g. It is further stated that all Assets and Liabilities including Income Tax and all other Statutory liabilities, if any, of the Transferor companies will be transferred to and shall vest in the Transferee Company. The copy of the scheme of Amalgamation has been filed along with this application.

h. All the employees of the Transferor Companies in service on the effective date, if any, shall become the employees of the Transferee Company on and from such date without any break or interruption in service and upon terms and conditions not less favourable than subsisting in the concerned transferor company on the said date. The copy of the Scheme has been filed along with the application;

i. It is also stated that the Scheme has been approved by the respective Board of Directors (BoD) of the Applicant Companies. Copies of resulutions dated 13th June, 2017 and 14th June, 2017 respectively passed by the BoD of each of the Applicant Companies whereby the Scheme has been approved have been filed with the application;

j. The Applicants submit that no proceedings under Section 235 to 251 of the Act (or corresponding provisions of the Companies Act, 2013) are pending against the Applicant Companies as on the date of institution of the present application.

k. The status of the Shareholders, Secured Creditors and Unsecured Creditors of the Transferor Company and the consent obtained from them for the proposed Scheme has been set out hereunder:

Company	No. of Equity Shareholders who have given consent	No. of Secured Creditors who have given consent	No. of Unsecured Creditors who have given consent
Transferor Company	All	All	All
Transferee Company	All	All	All

We have heard the Counsel appearing for the Applicant Companies, who have filed the Joint Application to dispense with convening of meeting(s) of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the respective Applicant Companies for considering the scheme of Arrangement and also the consent letters of the shareholders and Creditors of the Transferor as well as Transferee Company vide Annexure-E & J respectively.

Hence the joint application is allowed and holding of meeting(s) of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the respective Applicant Companies are dispensed with accordingly. In any eventuality when the Applicant Companies approach this Tribunal for seeking approval of the scheme, it would be open for any person who is interested in the scheme of Arrangement to put forth their contentions before the Tribunal.

21/12

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

21/12/17

(RATAKONDA MURALI)
MEMBER, JUDICIAL